

Rate Differentials and FX

How 2-Year Yield Spreads Drive EUR/USD and GBP/USD

Core Thesis

The US-Euro 2-year yield spread is the single most reliable driver of EUR/USD in the post-COVID rate cycle. When the Fed tightens faster than the ECB, the spread widens (USD pays more), attracting capital flows into dollar assets and depressing EUR/USD. The relationship weakens — and divergences open — around risk-off episodes (dollar smile) and when term-premium or growth differentials dominate at the long end.

US-Euro 2Y Spread

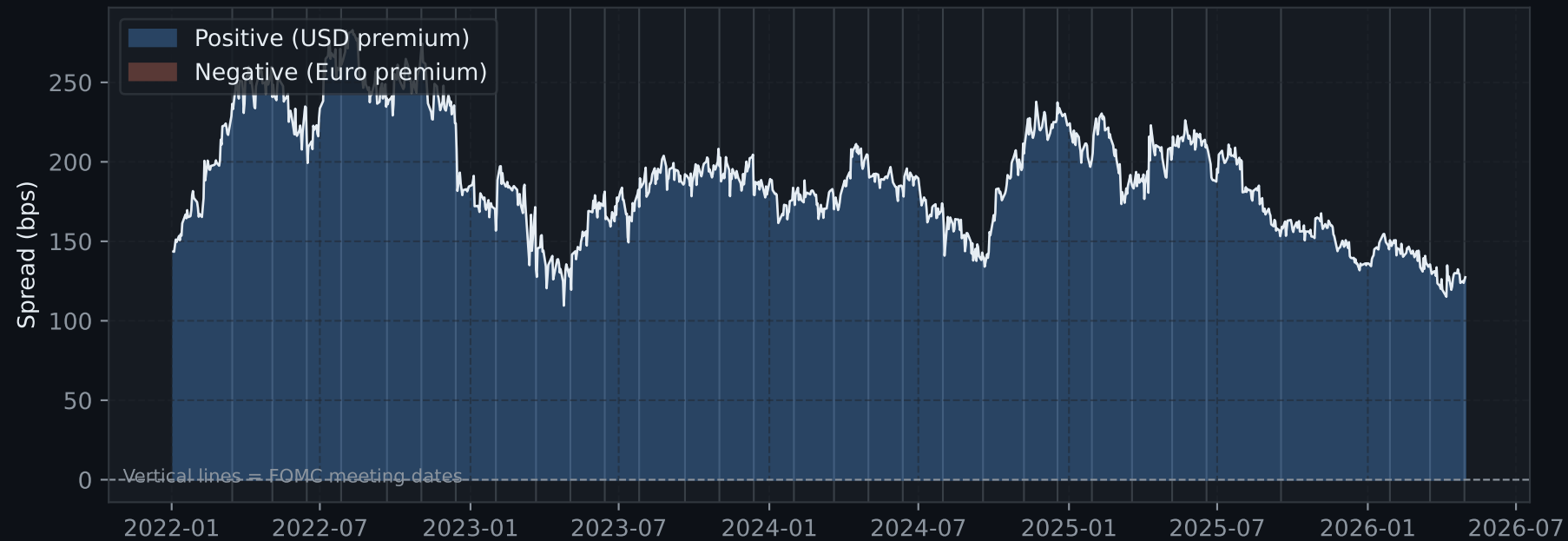
EUR/USD

DX

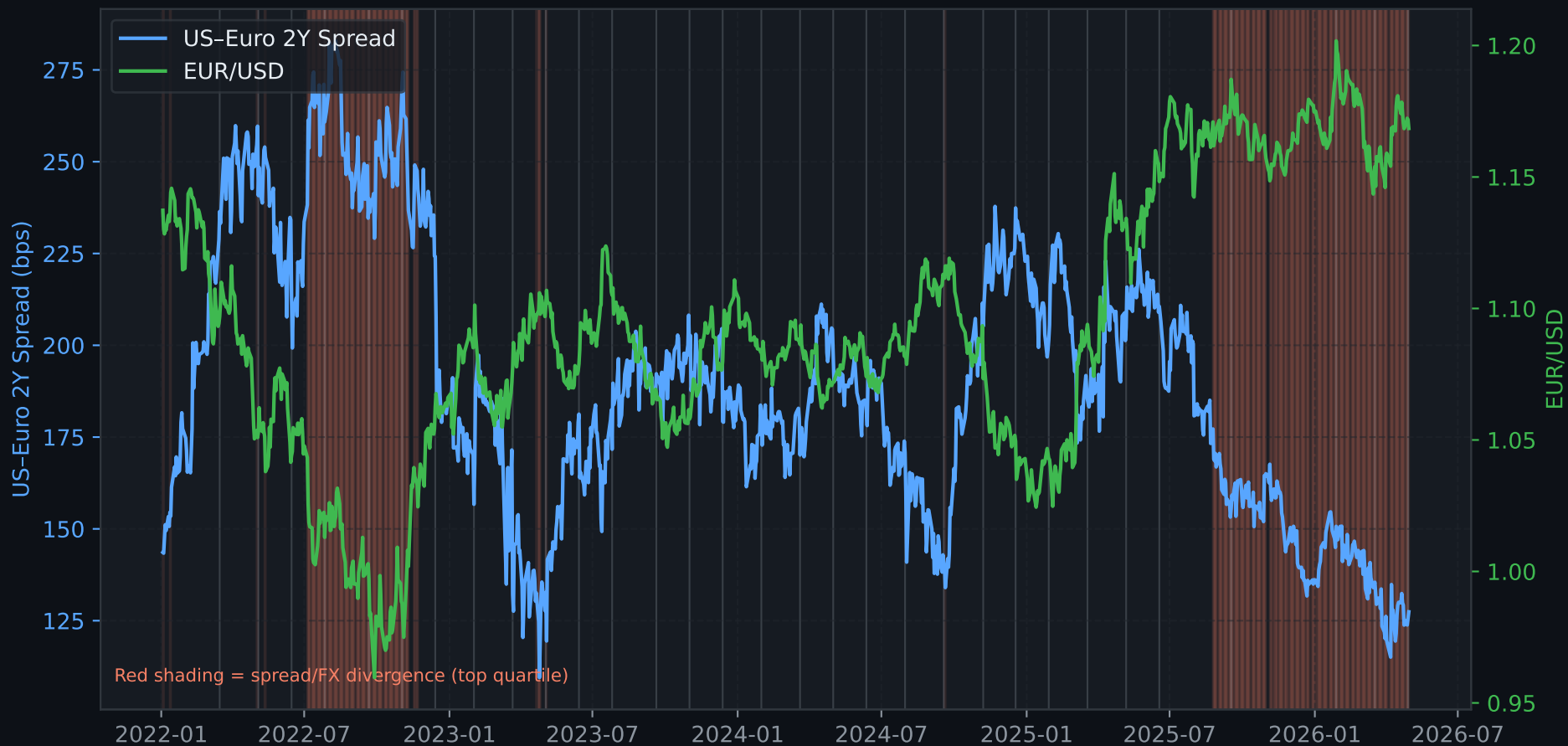
US 2Y vs Euro 2Y Yields



US-Euro 2Y Spread (US minus Euro)



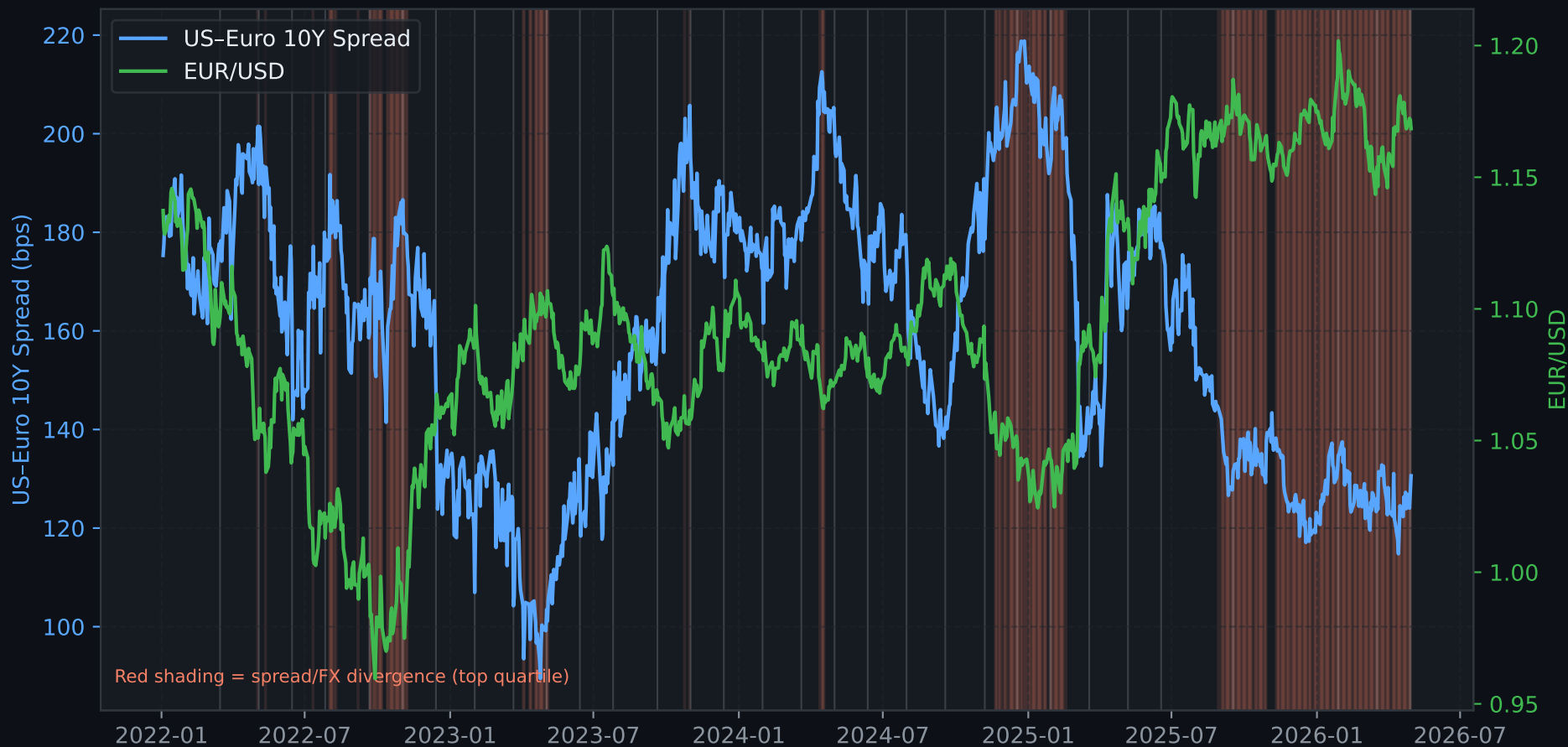
US-Euro 2Y Spread vs EUR/USD [Key Driver Chart]



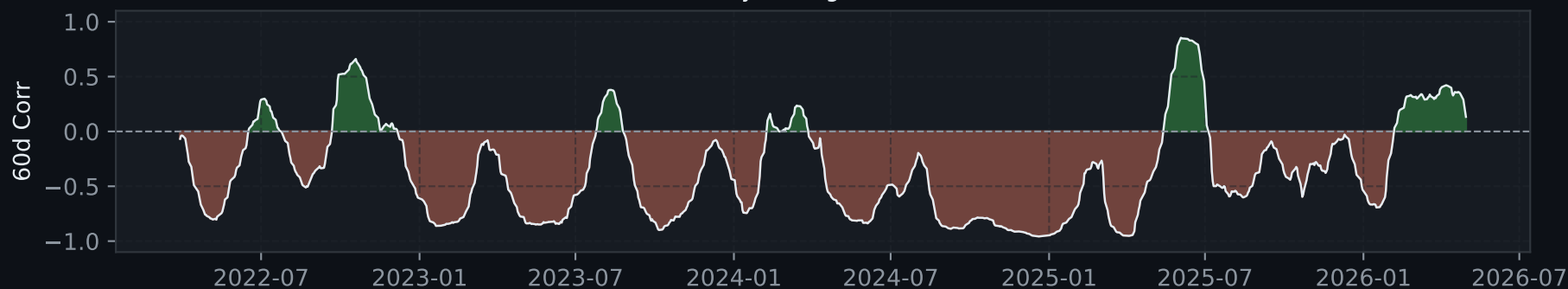
60-Day Rolling Correlation



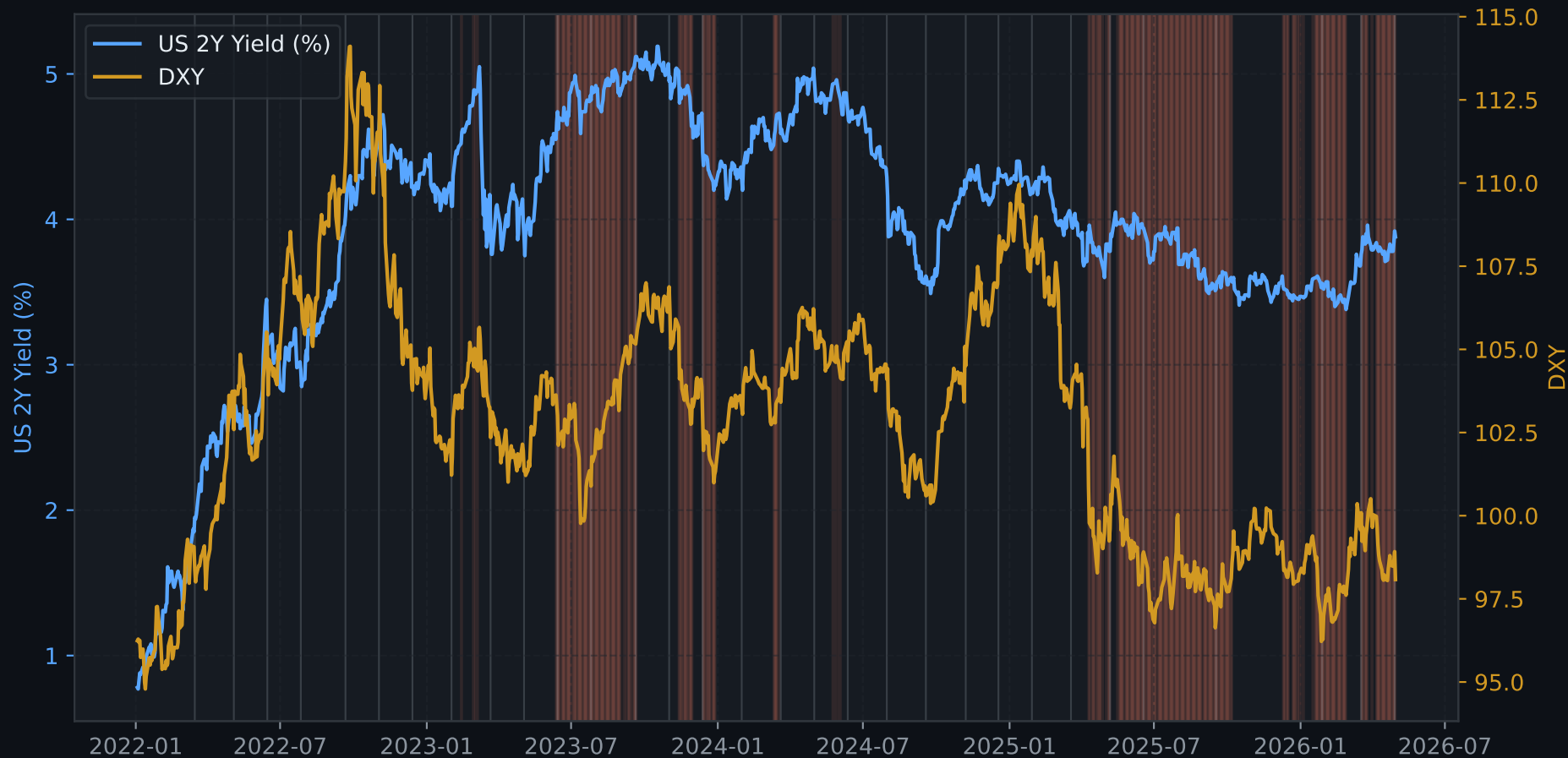
US-Euro 10Y Spread vs EUR/USD [Growth & Term Premium]



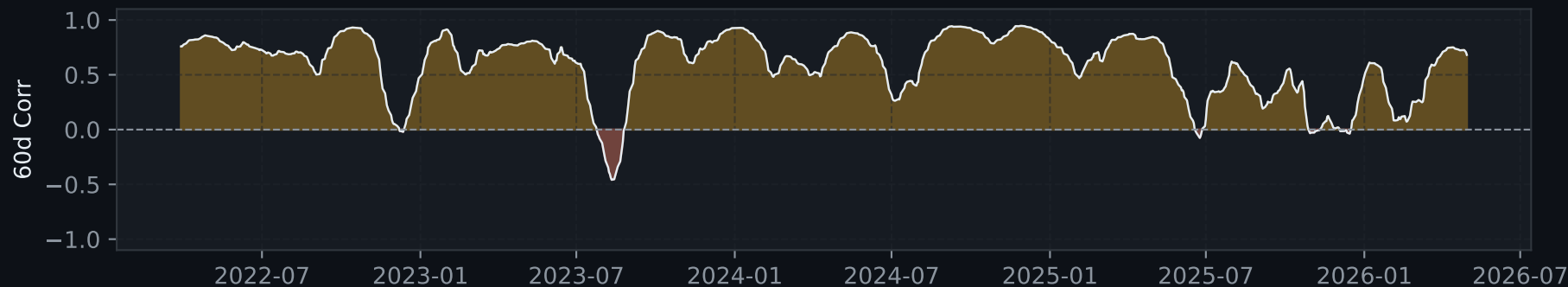
60-Day Rolling Correlation



DXY vs US 2-Year Yield



60-Day Rolling Correlation

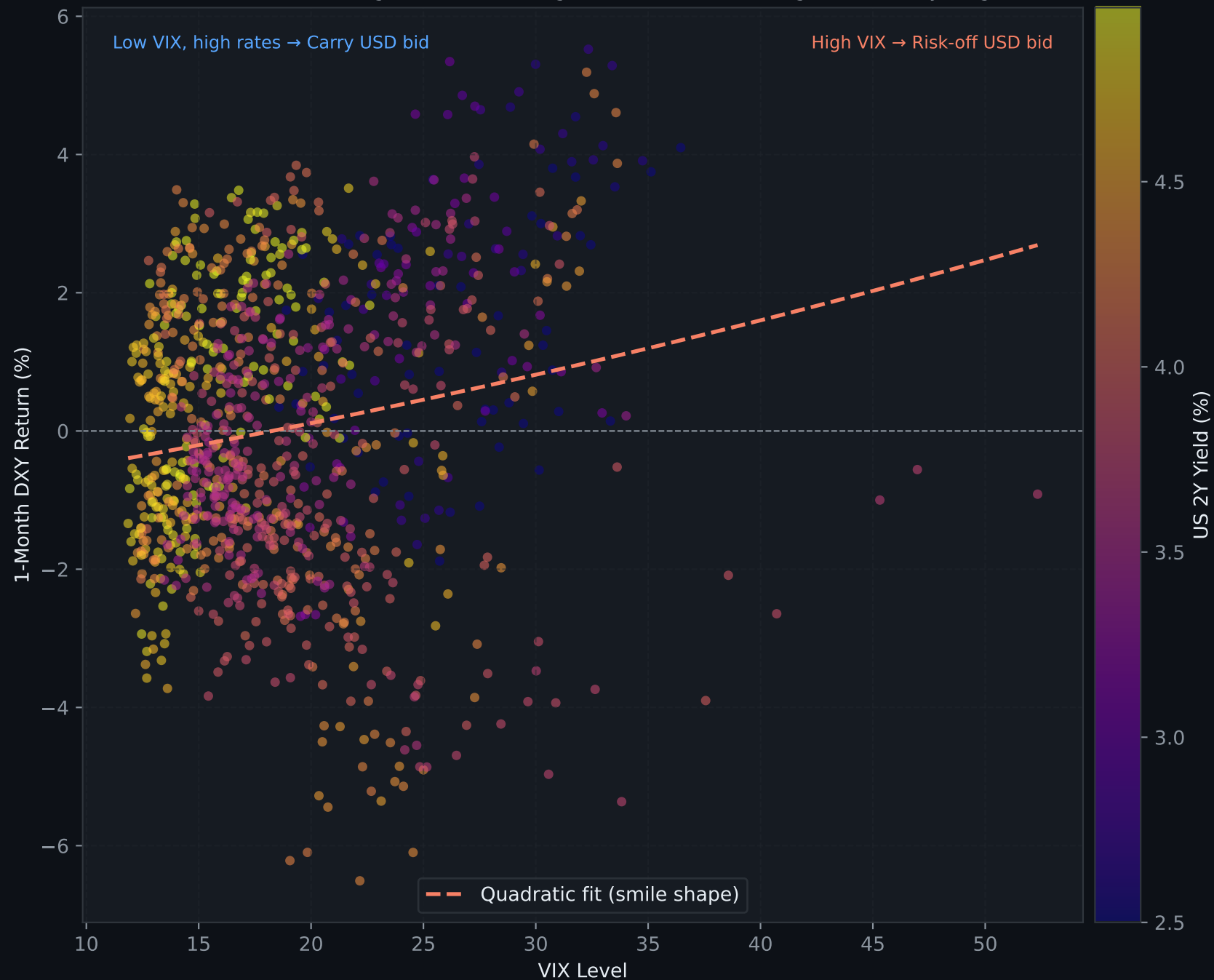


Dollar Smile Analysis

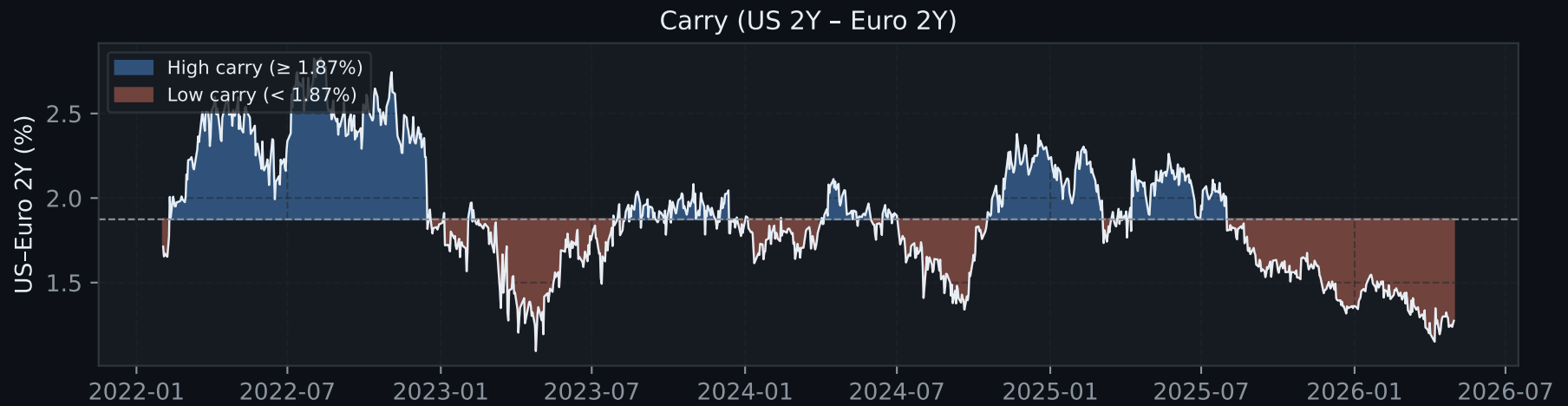
Dollar Smile: USD strengthens in both high-VIX (risk-off) and high-rate (carry) regimes

Low VIX, high rates → Carry USD bid

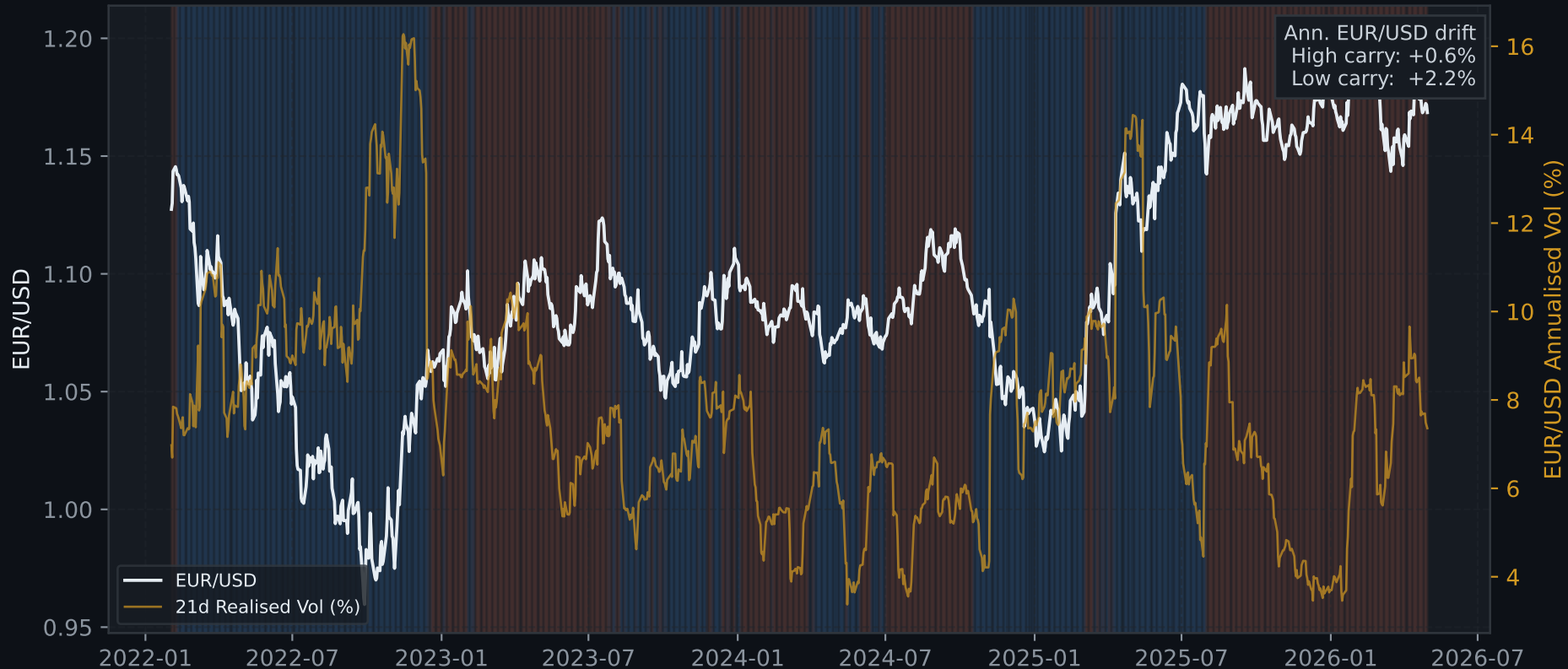
High VIX → Risk-off USD bid



Carry vs Vol Regime — EUR/USD Performance



EUR/USD with Carry Regime Overlay



Current Dislocation — Rate Differential Snapshot

Metric	Current	1Y Avg	2Y Avg
US 2Y Yield (%)	3.88	41.23	—
Euro AAA 2Y Yield (%)	2.61	—	—
US-Euro 2Y Spread (bps)	127.4	164.8	177.8
US-Euro 10Y Spread (bps)	130.6	142.2	160.0
EUR/USD	1.1729	—	—
EUR/USD Fair Value (2Y reg.)	1.1519	—	—
EUR/USD Dislocation (pips)	210	—	—
DXY	98.21	—	—
UK 2Y	N/A	N/A (unavailable)	—

Key Takeaway

Current EUR/USD is 210 pips above the fair value implied by the 2Y spread regression. The US-Euro 2Y spread stands at 127.4 bps vs a 1-year average of 164.8 bps. The spread is below its historical average, suggesting USD rate advantage is fading. EUR/USD may find support as carry differentials compress.